TVS Motor Company Ltd

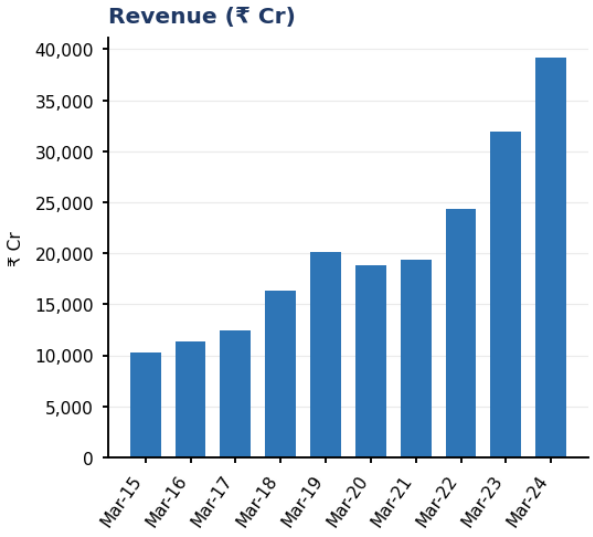
Consumer Discretionary | Two Wheelers | Latest FY: Mar-24 | ₹ Crore

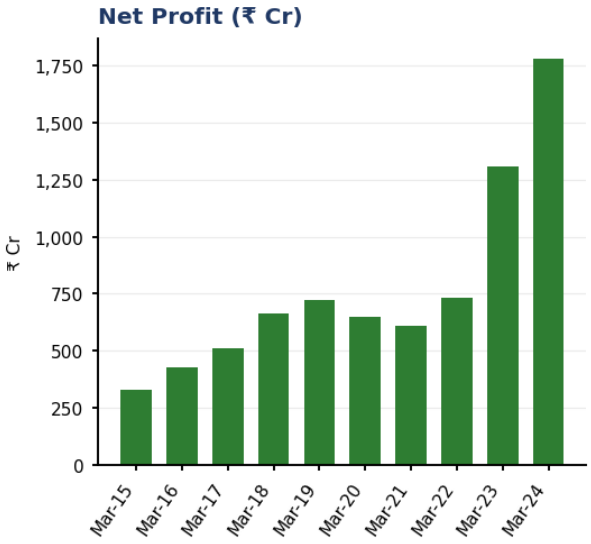
TVSMOTOR

Key Performance Indicators

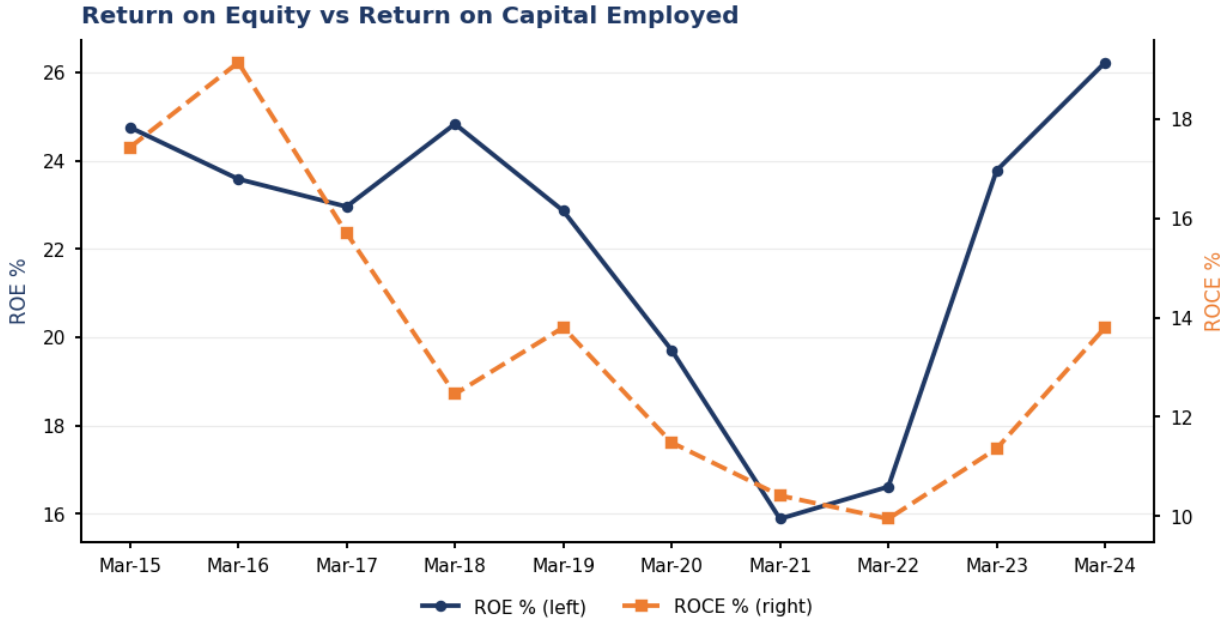
RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
26.2%	**13.8%**	**14.1%**
▲ +2.4 pts vs Mar-23	▲ +2.4 pts vs Mar-23	▲ +1.5 pts vs Mar-23
DEBT / EQUITY	**REVENUE CAGR (5Y)**	**NET PROFIT CAGR (5Y)**
3.83x	**14.2%**	**19.7%**
▼ -0.23x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





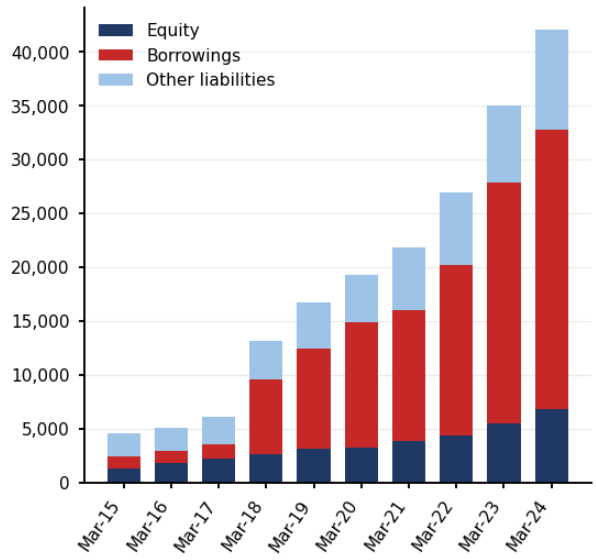
Return on Equity and Return on Capital Employed



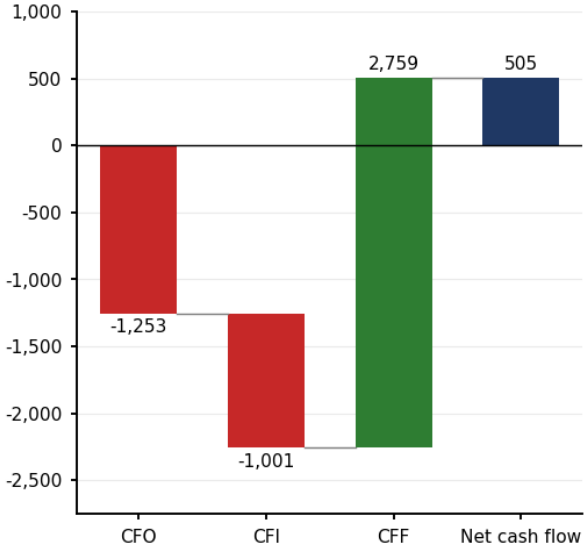
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Distress Signal

Pattern history (CFO / CFI / CFF signs): Mar-21: Aggressive Expander → Mar-22: Distress Signal → Mar-23: Distress Signal → Mar-24: Distress Signal

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
-0.75x	**4.3%**	**-68%**	**n/a**	**2 flags**
Accrual Risk	Moderate	FCF / operating profit	Loss-making	Distress signal

Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality (86%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (76%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (73%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (80%)
- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring (79%)
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (74%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.